

Initial Labor Market Conditions: Unequal Effects by Parental Income

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This paper examines the unequal impact of initial labor market conditions by parental income and their role in shaping long-term labor market outcomes. Using large-scale Canadian administrative tax data, I analyze the relationship between parental income, aggregate economic conditions, and wage dynamics for new labor market entrants. I find that entering the labor market during an economic downturn leads to significant and persistent earnings losses, with disproportionately larger effects for individuals from low-income families. A 1 p.p. higher initial unemployment rate reduces annual earnings by approximately \$2,000 real CAD for all workers over the first decade after graduation, with earnings declining 15 percent more for those from families in the bottom 20% of the income distribution. To explore the underlying mechanisms, I develop a continuous time heterogeneous agent model with financial constraints and a frictional labor market. The model highlights how parental income can act as a safety net: individuals from low-income families are closer to their borrowing constraints and more likely to enter jobs with lower earnings, particularly in the presence of larger search frictions. Recessions amplify this mechanism by reducing job-finding rates in equilibrium, further limiting access to high paying jobs. Counterfactual simulations suggest policies such as targeted grants for graduates entering the labor market could mitigate scarring effects and improve outcomes for disadvantaged workers.

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